# CLOSING STATEMENT

Lantern Onyx Tower | Sacramento, CA

| | |
|---|---|
| **Property** | Lantern Onyx Tower |
| **Settlement Date** | November 11, 2020 |
| **Buyer** | Cascadia Rock Capital |
| **Seller** | Northvale Development Co. |
| **Sale Price** | $20,360,000 |

## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Purchase price | $20,360,000 | | | |
| Earnest money deposit | | $8,940 | $8,940 | |
| Real estate tax proration | $33,551 | | | $33,551 |
| Rent proration | | | $184,106 | |
| Security deposits assumed | $68,617 | $68,617 | | |
| Prepaid rents | | | $105,259 | $105,259 |
| Owner's title policy premium | $21,427 | | | |
| Lender's title policy premium | | $161,901 | $161,901 | |
| Escrow fee | $164,271 | | | $164,271 |
| Recording fees | | | $170,493 | |
| Transfer tax | $163,609 | $163,609 | | |
| Survey | | | $111,845 | $111,845 |
| Legal fees - Buyer | $15,272 | | | |
| Legal fees - Seller | | $180,325 | $180,325 | |
| Broker commission | $116,632 | | | $116,632 |
| Loan origination fee | | | $165,355 | |
| Lender legal | $113,178 | $113,178 | | |
| Appraisal fee | | | $110,095 | $110,095 |
| Environmental report | $99,142 | | | |
| Property condition report | | $113,116 | $113,116 | |
| Tax escrow deposit | $37,482 | | | $37,482 |
| Insurance escrow deposit | | | $35,126 | |
| Replacement reserve deposit | $202,163 | $202,163 | | |
| Utility deposits | | | $172,023 | $172,023 |

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Legal fees - Buyer | $20,360,000 | | | |
| Legal fees - Seller | | $152,308 | $152,308 | |
| Broker commission | $133,578 | | | $133,578 |
| Loan origination fee | | | $156,279 | |
| Lender legal | $28,482 | $28,482 | | |
| Appraisal fee | | | $196,441 | $196,441 |
| Environmental report | $128,426 | | | |
| Property condition report | | $56,736 | $56,736 | |
| Tax escrow deposit | $151,260 | | | $151,260 |
| Insurance escrow deposit | | | $60,386 | |
| Replacement reserve deposit | $156,143 | $156,143 | | |
| Utility deposits | | | $123,509 | $123,509 |
| Assumed vendor contracts credit | $19,136 | | | |
| Tenant improvement credit | | $99,650 | $99,650 | |
| Courier / wire fees | $71,003 | | | $71,003 |
| Municipal certificates | | | $118,499 | |
| Purchase price | $198,026 | $198,026 | | |
| Earnest money deposit | | | $38,961 | $38,961 |
| Real estate tax proration | $196,188 | | | |
| Rent proration | | $37,408 | $37,408 | |
| Security deposits assumed | $145,024 | | | $145,024 |
| Prepaid rents | | | $40,804 | |
| Owner's title policy premium | $43,438 | $43,438 | | |
| Lender's title policy premium | | | $84,487 | $84,487 |
| Escrow fee | $124,965 | | | |
| Recording fees | | $81,157 | $81,157 | |
| Transfer tax | $134,981 | | | $134,981 |
| Survey | | | $118,380 | |

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## Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Weighted average lease term remaining is 4 years and in-place rents average $40 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 31 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $44,000 or approximately 10.16 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.01x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $188,000 or approximately 15.18 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x.

## Financial Analysis

Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 6 years and in-place rents average $40 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 25 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $296,000, representing a 6.5% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 46 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption.

## Financial Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 11 years and in-place rents average $40 per square foot, full service gross. Debt service coverage ratio was 5.13x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.02% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 7.25% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.05x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Assumed vendor contracts credit | $20,360,000 | | | |
| Tenant improvement credit | | $74,200 | $74,200 | |
| Courier / wire fees | $158,720 | | | $158,720 |
| Municipal certificates | | | $152,996 | |
| Purchase price | $81,401 | $81,401 | | |
| Earnest money deposit | | | $66,902 | $66,902 |
| Real estate tax proration | $70,688 | | | |
| Rent proration | | $95,069 | $95,069 | |
| Security deposits assumed | $158,586 | | | $158,586 |
| Prepaid rents | | | $135,938 | |
| Owner's title policy premium | $177,191 | $177,191 | | |
| Lender's title policy premium | | | $93,044 | $93,044 |
| Escrow fee | $135,618 | | | |
| Recording fees | | $30,659 | $30,659 | |
| Transfer tax | $127,847 | | | $127,847 |
| Survey | | | $75,379 | |
| Legal fees - Buyer | $99,482 | $99,482 | | |
| Legal fees - Seller | | | $165,520 | $165,520 |
| Broker commission | $64,346 | | | |
| Loan origination fee | | $43,133 | $43,133 | |
| Lender legal | $174,898 | | | $174,898 |
| Appraisal fee | | | $104,504 | |
| Environmental report | $174,104 | $174,104 | | |
| Property condition report | | | $15,955 | $15,955 |
| Tax escrow deposit | $190,316 | | | |
| Insurance escrow deposit | | $148,940 | $148,940 | |
| Replacement reserve deposit | $121,105 | | | $121,105 |
| Utility deposits | | | $190,377 | |

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## Income and Expense Review

Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.59x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.43% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $48,000 or approximately 46.22 per square foot, with real estate taxes representing the largest line item.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.07x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $87,000, representing a 7.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period.

## Financial Analysis

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 20 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.86% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $427,000 or approximately 13.41 per square foot, with real estate taxes representing the largest line item. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts.

## Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $421,000 or approximately 45.47 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 9 years and in-place rents average $40 per square foot, full service gross. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center.

The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 10 years and in-place rents average $40 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Escrow fee | $20,360,000 | | | |
| Recording fees | | $80,302 | $80,302 | |
| Transfer tax | $177,551 | | | $177,551 |
| Survey | | | $110,664 | |
| Legal fees - Buyer | $190,684 | $190,684 | | |
| Legal fees - Seller | | | $97,000 | $97,000 |
| Broker commission | $179,010 | | | |
| Loan origination fee | | $196,737 | $196,737 | |
| Lender legal | $20,079 | | | $20,079 |
| Appraisal fee | | | $105,627 | |
| Environmental report | $22,966 | $22,966 | | |
| Property condition report | | | $78,463 | $78,463 |
| Tax escrow deposit | $106,196 | | | |
| Insurance escrow deposit | | $109,512 | $109,512 | |
| Replacement reserve deposit | $112,555 | | | $112,555 |
| Utility deposits | | | $126,945 | |
| Assumed vendor contracts credit | $20,539 | $20,539 | | |
| Tenant improvement credit | | | $148,906 | $148,906 |
| Courier / wire fees | $139,419 | | | |
| Municipal certificates | | $42,317 | $42,317 | |
| Purchase price | $144,895 | | | $144,895 |
| Earnest money deposit | | | $141,716 | |
| Real estate tax proration | $134,006 | $134,006 | | |
| Rent proration | | | $202,764 | $202,764 |
| Security deposits assumed | $66,165 | | | |
| Prepaid rents | | $188,649 | $188,649 | |
| Owner's title policy premium | $188,660 | | | $188,660 |
| Lender's title policy premium | | | $195,292 | |

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## Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Weighted average lease term remaining is 8 years and in-place rents average $40 per square foot, full service gross. Effective gross income for the trailing period was $325,000, representing a 12.1% increase over the prior year. Operating expenses totaled $81,000 or approximately 19.53 per square foot, with real estate taxes representing the largest line item.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.59% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 40 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses.

## Operating Performance

The going-in capitalization rate of 8.05% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $175,000, representing a 7.9% increase over the prior year. Debt service coverage ratio was 7.07x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses.

Operating expenses totaled $30,000 or approximately 15.24 per square foot, with real estate taxes representing the largest line item. The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 7.62% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $147,000, representing a 11.4% increase over the prior year. Weighted average lease term remaining is 11 years and in-place rents average $40 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Income and Expense Review

Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $239,000, representing a 5.4% increase over the prior year.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Debt service coverage ratio was 7.43x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Operating expenses totaled $221,000 or approximately 11.92 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 7 years and in-place rents average $40 per square foot, full service gross.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Tax escrow deposit | $20,360,000 | | | |
| Insurance escrow deposit | | $48,536 | $48,536 | |
| Replacement reserve deposit | $54,601 | | | $54,601 |
| Utility deposits | | | $92,345 | |
| Assumed vendor contracts credit | $74,474 | $74,474 | | |
| Tenant improvement credit | | | $37,785 | $37,785 |
| Courier / wire fees | $197,104 | | | |
| Municipal certificates | | $202,380 | $202,380 | |
| Purchase price | $152,671 | | | $152,671 |
| Earnest money deposit | | | $54,593 | |
| Real estate tax proration | $42,115 | $42,115 | | |
| Rent proration | | | $101,538 | $101,538 |
| Security deposits assumed | $140,414 | | | |
| Prepaid rents | | $160,656 | $160,656 | |
| Owner's title policy premium | $33,896 | | | $33,896 |
| Lender's title policy premium | | | $174,712 | |
| Escrow fee | $140,512 | $140,512 | | |
| Recording fees | | | $107,842 | $107,842 |
| Transfer tax | $175,596 | | | |
| Survey | | $100,499 | $100,499 | |
| Legal fees - Buyer | $115,112 | | | $115,112 |
| Legal fees - Seller | | | $88,560 | |
| Broker commission | $102,011 | $102,011 | | |
| Loan origination fee | | | $87,318 | $87,318 |
| Lender legal | $125,425 | | | |
| Appraisal fee | | $95,406 | $95,406 | |
| Environmental report | $5,464 | | | $5,464 |
| Property condition report | | | $48,494 | |

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## Financial Analysis

The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 11 years and in-place rents average $40 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.33x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $81,000, representing a 4.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period.

## Income and Expense Review

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 5.15x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.77% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $225,000 or approximately 36.41 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 5.14% reflects the in-place income and the stabilized occupancy assumption. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $394,000 or approximately 19.61 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.15x on a trailing basis against a covenant minimum of 1.20x.

## Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.13x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $453,000, representing a 5.7% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 47 per 1,000 square feet, and a tenant lounge with fitness center.

Operating expenses totaled $205,000 or approximately 47.13 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 4 years and in-place rents average $40 per square foot, full service gross. The going-in capitalization rate of 7.38% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $132,000, representing a 8.3% increase over the prior year.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Security deposits assumed | $20,360,000 | | | |
| Prepaid rents | | $178,866 | $178,866 | |
| Owner's title policy premium | $162,151 | | | $162,151 |
| Lender's title policy premium | | | $185,431 | |
| Escrow fee | $114,584 | $114,584 | | |
| Recording fees | | | $67,787 | $67,787 |
| Transfer tax | $103,247 | | | |
| Survey | | $202,016 | $202,016 | |
| Legal fees - Buyer | $8,400 | | | $8,400 |
| Legal fees - Seller | | | $173,530 | |
| Broker commission | $138,840 | $138,840 | | |
| Loan origination fee | | | $105,857 | $105,857 |
| Lender legal | $148,487 | | | |
| Appraisal fee | | $192,309 | $192,309 | |
| Environmental report | $183,894 | | | $183,894 |
| Property condition report | | | $114,233 | |
| Tax escrow deposit | $9,782 | $9,782 | | |
| Insurance escrow deposit | | | $153,081 | $153,081 |
| Replacement reserve deposit | $31,459 | | | |
| Utility deposits | | $14,346 | $14,346 | |
| Assumed vendor contracts credit | $75,301 | | | $75,301 |
| Tenant improvement credit | | | $34,086 | |
| Courier / wire fees | $156,402 | $156,402 | | |
| Municipal certificates | | | $53,973 | $53,973 |
| Purchase price | $19,482 | | | |
| Earnest money deposit | | $175,201 | $175,201 | |
| Real estate tax proration | $130,201 | | | $130,201 |
| Rent proration | | | $195,292 | |

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## Operating Performance

Weighted average lease term remaining is 8 years and in-place rents average $40 per square foot, full service gross. The going-in capitalization rate of 5.75% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 4 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.15x on a trailing basis against a covenant minimum of 1.20x.

Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 19 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $369,000, representing a 10.2% increase over the prior year. Weighted average lease term remaining is 8 years and in-place rents average $40 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 8.01% reflects the in-place income and the stabilized occupancy assumption.

## Financial Analysis

Effective gross income for the trailing period was $202,000, representing a 12.3% increase over the prior year. The going-in capitalization rate of 7.25% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Debt service coverage ratio was 6.99x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $32,000, representing a 11.8% increase over the prior year. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

## Financial Analysis

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 5.59x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.05% reflects the in-place income and the stabilized occupancy assumption. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses.

Operating expenses totaled $413,000 or approximately 39.79 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 36 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 5 years and in-place rents average $40 per square foot, full service gross.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Lender legal | $20,360,000 | | | |
| Appraisal fee | | $109,818 | $109,818 | |
| Environmental report | $76,696 | | | $76,696 |
| Property condition report | | | $19,320 | |
| Tax escrow deposit | $27,134 | $27,134 | | |
| Insurance escrow deposit | | | $117,764 | $117,764 |
| Replacement reserve deposit | $66,838 | | | |
| Utility deposits | | $57,567 | $57,567 | |
| Assumed vendor contracts credit | $77,824 | | | $77,824 |
| Tenant improvement credit | | | $147,274 | |
| Courier / wire fees | $29,359 | $29,359 | | |
| Municipal certificates | | | $112,138 | $112,138 |
| Purchase price | $39,940 | | | |
| Earnest money deposit | | $38,456 | $38,456 | |
| Real estate tax proration | $174,043 | | | $174,043 |
| Rent proration | | | $55,216 | |
| Security deposits assumed | $164,430 | $164,430 | | |
| Prepaid rents | | | $196,863 | $196,863 |
| Owner's title policy premium | $185,140 | | | |
| Lender's title policy premium | | $80,405 | $80,405 | |
| Escrow fee | $104,947 | | | $104,947 |
| Recording fees | | | $31,384 | |
| Transfer tax | $17,512 | $17,512 | | |
| Survey | | | $14,598 | $14,598 |
| Legal fees - Buyer | $189,797 | | | |
| Legal fees - Seller | | $52,265 | $52,265 | |
| Broker commission | $90,301 | | | $90,301 |
| Loan origination fee | | | $187,317 | |

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## Valuation Discussion

Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 5.53% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.70x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Operating expenses totaled $389,000 or approximately 20.05 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $132,000, representing a 6.5% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center.

## Operating Performance

Weighted average lease term remaining is 8 years and in-place rents average $40 per square foot, full service gross. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Operating expenses totaled $347,000 or approximately 40.98 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $217,000, representing a 3.5% increase over the prior year.

Effective gross income for the trailing period was $305,000, representing a 12.7% increase over the prior year. The going-in capitalization rate of 6.37% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.39x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts.

## Financial Analysis

Effective gross income for the trailing period was $185,000, representing a 3.9% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 5.20% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 31 per 1,000 square feet, and a tenant lounge with fitness center.

Effective gross income for the trailing period was $212,000, representing a 8.8% increase over the prior year. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building features a renovated lobby, structured parking at a ratio of 37 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 3 years and in-place rents average $40 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Purchase price | $20,360,000 | | | |
| Earnest money deposit | | $162,826 | $162,826 | |
| Real estate tax proration | $150,421 | | | $150,421 |
| Rent proration | | | $148,292 | |
| Security deposits assumed | $116,925 | $116,925 | | |
| Prepaid rents | | | $181,494 | $181,494 |
| Owner's title policy premium | $105,797 | | | |
| Lender's title policy premium | | $50,355 | $50,355 | |
| Escrow fee | $169,412 | | | $169,412 |
| Recording fees | | | $195,806 | |
| Transfer tax | $90,117 | $90,117 | | |
| Survey | | | $102,546 | $102,546 |
| Legal fees - Buyer | $65,143 | | | |
| Legal fees - Seller | | $138,337 | $138,337 | |
| Broker commission | $86,236 | | | $86,236 |
| Loan origination fee | | | $50,430 | |
| Lender legal | $114,087 | $114,087 | | |
| Appraisal fee | | | $86,882 | $86,882 |
| Environmental report | $81,352 | | | |
| Property condition report | | $181,379 | $181,379 | |
| Tax escrow deposit | $152,599 | | | $152,599 |
| Insurance escrow deposit | | | $103,248 | |
| Replacement reserve deposit | $88,792 | $88,792 | | |
| Utility deposits | | | $53,948 | $53,948 |
| Assumed vendor contracts credit | $30,008 | | | |
| Tenant improvement credit | | $62,805 | $62,805 | |
| Courier / wire fees | $121,358 | | | $121,358 |
| Municipal certificates | | | $61,489 | |

Report generated 11/11/2020. Figures are unaudited and subject to change.

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## Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Effective gross income for the trailing period was $41,000, representing a 5.7% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Debt service coverage ratio was 5.65x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $86,000 or approximately 45.85 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.13% reflects the in-place income and the stabilized occupancy assumption.

Weighted average lease term remaining is 11 years and in-place rents average $40 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 13 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts.

## Financial Analysis

Debt service coverage ratio was 7.19x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 5.76x on a trailing basis against a covenant minimum of 1.20x. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. Operating expenses totaled $420,000 or approximately 22.82 per square foot, with real estate taxes representing the largest line item.

## Valuation Discussion

The building features a renovated lobby, structured parking at a ratio of 28 per 1,000 square feet, and a tenant lounge with fitness center. Operating expenses totaled $44,000 or approximately 35.74 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.98x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 7 years and in-place rents average $40 per square foot, full service gross. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $46,000, representing a 3.6% increase over the prior year.

The going-in capitalization rate of 6.16% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 25 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 6.26x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $427,000 or approximately 36.63 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 5 years and in-place rents average $40 per square foot, full service gross.

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